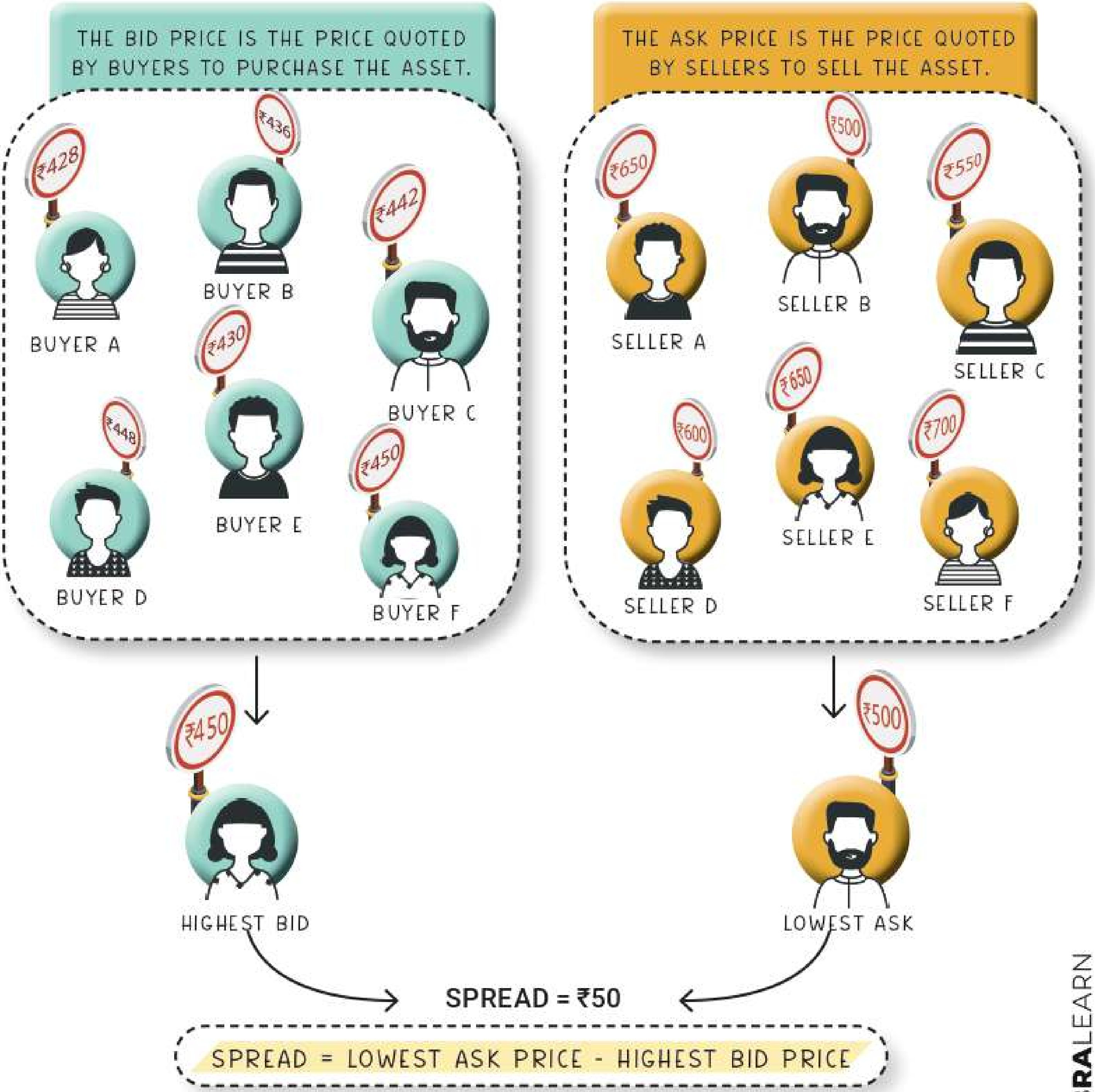
## BID ASK SPREAD

Entire stock market operates with an auction model in place. Buyers bid about the highest price they are ready to pay for an asset or a derivative and sellers quote the lowest price that they are comfortable selling. The former is know as Bid Price and latter is the Ask Price. Whenever they meet, trade gets executed. The difference between the two is called Bid-ask spread. So, whenever you buy anything, you will pay the Ask Price and to sell something you will get the Bid Price.




The spread is the difference between the bid and ask prices of an asset. If there are a large number of buyers and sellers in the market, then the id-ask spread will be low. If the market has fewer buyers and sellers, then bid-ask spread would be high. Bid-ask spread adds to the transaction costs that we incur when buying and selling derivative contracts.